

SENATE CHAMBER

STATE OF OKLAHOMA

DISPOSITION

☒ FLOOR AMENDMENT

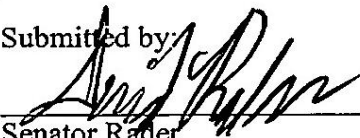
No. 1

☐ COMMITTEE AMENDMENT

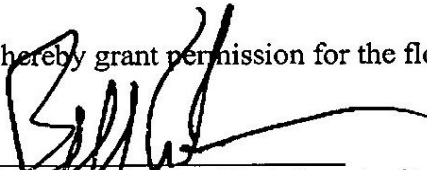
(Date)

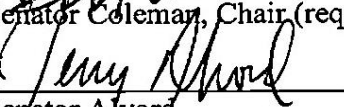
I move to amend House Bill No. 1081, by substituting the attached floor substitute (Request # 3606) for the title, enacting clause and entire body of the measure.

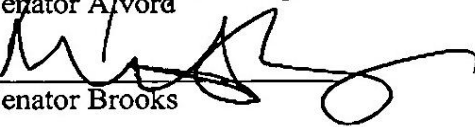
Submitted by:


Senator Rader

I hereby grant permission for the floor substitute to be adopted.


Senator Coleman, Chair (required)

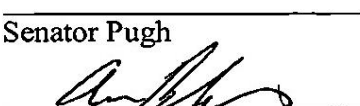

Senator Alvord

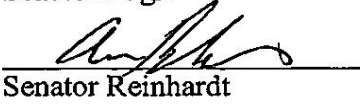

Senator Brooks

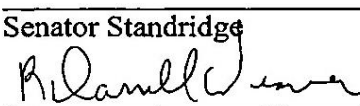

Senator Grellner

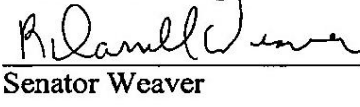

Senator Guthrie


Senator Mann


Senator Pugh


Senator Reinhardt


Senator Standridge


Senator Weaver

Senator Paxton, President Pro Tempore

Senator Daniels, Majority Floor
Leader

Note: Business and Insurance committee majority requires six (6) members' signatures.

Rader-CAD-FS-HB1081
2/23/2026 10:31 AM

(Floor Amendments Only)

Date and Time Filed: 2-24-26 1:50pm go

☐ Untimely

☐ Amendment Cycle Extended

☐ Secondary Amendment

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

FLOOR SUBSTITUTE
FOR ENGROSSED

HOUSE BILL NO. 1081

By: Tedford of the House

and

Rader of the Senate

FLOOR SUBSTITUTE

[appraisers - invoice - appraisal management
services - penalties - effective date]

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 59 O.S. 2021, Section 858-723, as
amended by Section 2, Chapter 112, O.S.L. 2025 (59 O.S. Supp. 2025,
Section 858-723), is amended to read as follows:

Section 858-723. A. The Real Estate Appraiser Board, after
notice and opportunity for a hearing, pursuant to Article II of the
Administrative Procedures Act, may issue an order imposing one or
more of the following penalties whenever the Board finds, by clear
and convincing evidence, that a certificate holder has violated any
provision of the Oklahoma Certified Real Estate Appraisers Act, or
rules promulgated pursuant thereto:

1. Revocation of the certificate with or without the right to
reapply;

1 2. Suspension of the certificate for a period not to exceed
2 five (5) years;

3 3. Probation, for a period of time and under such terms and
4 conditions as deemed appropriate by the Board;

5 4. Stipulations, limitations, restrictions, and conditions
6 relating to practice;

7 5. Censure, including specific redress, if appropriate;

8 6. Reprimand, either public or private;

9 7. Satisfactory completion of an educational program or
10 programs;

11 8. Administrative fines as authorized by the Oklahoma Certified
12 Real Estate Appraisers Act; and

13 9. Payment of costs expended by the Board for any legal fees
14 and costs and probation and monitoring fees including, but not
15 limited to, administrative costs, witness fees and attorney fees.

16 B. 1. Any administrative fine imposed as a result of a
17 violation of the Oklahoma Certified Real Estate Appraisers Act or
18 the rules of the Board promulgated pursuant thereto shall not:

19 a. be less than Fifty Dollars (\$50.00) and shall not
20 exceed Two Thousand Dollars (\$2,000.00) for each
21 violation of this act or the rules of the Board, or

22 b. exceed Five Thousand Dollars (\$5,000.00) for all
23 violations resulting from a single incident or
24 transaction.

1 2. All administrative fines shall be paid within thirty (30)
2 days of notification of the certificate holder by the Board of the
3 order of the Board imposing the administrative fine, unless the
4 certificate holder has entered into an agreement with the Board
5 extending the period for payment.

6 3. The certificate may be suspended until any fine imposed upon
7 the licensee by the Board is paid.

8 4. Unless the certificate holder has entered into an agreement
9 with the Board extending the period for payment, if fines are not
10 paid in full by the licensee within thirty (30) days of the
11 notification by the Board of the order, the fines shall double and
12 the certificate holder shall have an additional thirty-day period.
13 If the double fine is not paid within the additional thirty-day
14 period, the certificate shall automatically be revoked.

15 5. All monies received by the Board as a result of the
16 imposition of the administrative fine provided for in this section
17 shall be deposited in the Oklahoma Certified Real Estate Appraisers
18 Revolving Fund created pursuant to Section 858-730 of this title.

19 C. The rights of any holder under a certificate as a trainee,
20 state licensed, state certified residential or state certified
21 general real estate appraiser may be revoked or suspended, or the
22 holder of the certificate may be otherwise disciplined pursuant to
23 the provisions of the Oklahoma Certified Real Estate Appraisers Act,
24 upon any of the grounds set forth in this section. The Board may

1 investigate the actions of a trainee, state licensed, state
2 certified residential or state certified general real estate
3 appraiser, and may revoke or suspend the rights of a certificate
4 holder or otherwise discipline a trainee, state licensed, state
5 certified residential or state certified general real estate
6 appraiser for any of the following acts or omissions:

7 1. Procuring or attempting to procure a certificate pursuant to
8 the provisions of the Oklahoma Certified Real Estate Appraisers Act
9 by knowingly making a false statement, knowingly submitting false
10 information, refusing to provide complete information in response to
11 a question in an application for certification or through any form
12 of fraud or misrepresentation;

13 2. Failing to meet the minimum qualifications established
14 pursuant to the provisions of the Oklahoma Certified Real Estate
15 Appraisers Act;

16 3. Paying money other than provided for by the Oklahoma
17 Certified Real Estate Appraisers Act to any member or employee of
18 the Board to procure a certificate pursuant to the Oklahoma
19 Certified Real Estate Appraisers Act;

20 4. A conviction, including a conviction based upon a plea of
21 guilty or nolo contendere, of a felony crime that substantially
22 relates to the practice of real estate appraisals or poses a
23 reasonable threat to public safety;

1 5. An act or omission involving dishonesty, fraud, or
2 misrepresentation with the intent to substantially benefit the
3 certificate holder or another person or with the intent to
4 substantially injure another person;

5 6. Violation of any of the standards for the development or
6 communication of real estate appraisals as provided in the Oklahoma
7 Certified Real Estate Appraisers Act;

8 7. Failure or refusal without good cause to exercise reasonable
9 diligence in developing an appraisal, preparing an appraisal report,
10 or communicating an appraisal;

11 8. Negligence or incompetence in developing an appraisal, in
12 preparing an appraisal report, or in communicating an appraisal;

13 9. Willfully disregarding or violating any of the provisions of
14 the Oklahoma Certified Real Estate Appraisers Act or the regulations
15 of the Board for the administration and enforcement of the
16 provisions of the Oklahoma Certified Real Estate Appraisers Act;

17 10. Accepting an appraisal assignment when the employment
18 itself is contingent upon the appraiser reporting a predetermined
19 estimate, analysis or opinion, or where the fee to be paid is
20 contingent upon the opinion, conclusion, or valuation reached, or
21 upon the consequences resulting from the appraisal assignment;

22 11. Violating the confidential nature of governmental records
23 to which the appraiser gained access through employment or
24 engagement as an appraiser by a governmental agency;

1 12. Entry of a final civil judgment against the person on
2 grounds of deceit, fraud, or willful or knowing misrepresentation in
3 the making of any appraisal of real property;

4 13. Violating any of the provisions in the code of ethics set
5 forth in this title; ~~or~~

6 14. Failing to at any time properly identify ~~themselves~~ himself
7 or herself according to the specific type of certification held; or

8 15. Willful noncompliance with the requirement to submit
9 invoices pursuant to paragraph 4 of subsection A of Section 858-732
10 of this title.

11 D. In a disciplinary proceeding based upon a civil judgment,
12 the trainee, state licensed, state certified residential or state
13 certified general real estate appraiser shall be afforded an
14 opportunity to present matters in mitigation and extenuation, but
15 may not collaterally attack the civil judgment.

16 E. 1. A complaint may be filed with the Board against a
17 trainee or state licensed or state certified appraiser for any
18 violations relating to a specific transaction of the Oklahoma
19 Certified Real Estate Appraisers Act by any person who is the
20 recipient of, relies upon or uses an appraisal prepared for a
21 federally related transaction or real-estate-related financial
22 transaction as described in Section 858-701 of this title.

23 2. Any person with knowledge of any circumstances surrounding
24 an act or omission by a trainee or state licensed or state certified

1 appraiser involving fraud, dishonesty or misrepresentation in any
2 real property valuation-related activity, not limited to federally
3 related transactions, may file a complaint with the Board setting
4 forth all facts surrounding the act or omission.

5 3. A complaint may be filed against a trainee or state licensed
6 or state certified appraiser directly by the Board, if reasonable
7 cause exists for violations of the code of ethics set forth in this
8 act.

9 4. Any complaint filed pursuant to this subsection shall be in
10 writing and shall be on a form approved by the Board, either in
11 paper form or filed electronically. The trainee or state licensed
12 or state certified appraiser shall be entitled to any hearings or
13 subject to any disciplinary proceedings provided for in the Oklahoma
14 Certified Real Estate Appraisers Act based upon any complaint filed
15 pursuant to this subsection.

16 F. As used in this section:

17 1. "Substantially relates" means the nature of criminal conduct
18 for which the person was convicted has a direct bearing on the
19 fitness or ability to perform one or more of the duties or
20 responsibilities necessarily related to the occupation; and

21 2. "Poses a reasonable threat" means the nature of criminal
22 conduct for which the person was convicted involved an act or threat
23 of harm against another and has a bearing on the fitness or ability
24 to serve the public or work with others in the occupation.

SECTION 2. AMENDATORY 59 O.S. 2021, Section 858-732, is amended to read as follows:

Section 858-732. A. All persons listed in paragraph 2 of subsection A of Section 858-702 of this title ~~must~~ shall conduct all real property valuations and any real property valuation-related activity in conformance with the following:

1. An appraiser ~~must~~ shall perform ethically and competently and not engage in conduct that is unlawful, unethical or improper. An appraiser who could reasonably be perceived to act as a disinterested third party in rendering an unbiased real property valuation ~~must~~ shall perform assignments with impartiality, objectivity and independence and without accommodation of personal interests;

2. The acceptance of compensation that is contingent upon the reporting of a predetermined value or a direction in value that favors the cause of the client, the amount of the value estimate, the attainment of a stipulated result or the occurrence of a subsequent event is unethical;

3. The payment of undisclosed fees, commissions or things of value in connection with the procurement of real property valuation assignments is unethical;

4. When providing residential appraisal services, an invoice for service exhibiting compensation to the appraiser shall be

1 included as the first page in all assignments. Such invoice shall
2 be submitted in image or PDF form;

3 5. Advertising for or soliciting appraisal assignments in a
4 manner which is false, misleading or exaggerated is unethical;

5 ~~5.~~ 6. An appraiser ~~must~~ shall protect the confidential nature
6 of the appraiser-client relationship; and

7 ~~6.~~ 7. Using or attempting to use the seal, certificate, or
8 license of another as ~~their~~ the appraiser's own; falsely
9 impersonating any duly licensed appraiser; using or attempting to
10 use an inactive, expired, suspended, or revoked license; or aiding
11 or abetting any of the foregoing is unethical.

12 B. Although this code of ethics is based upon the ethics
13 provisions of the Uniform Standards of Professional Appraisal
14 Practice, it is not the intent of the Legislature to incorporate the
15 standards set forth in the Uniform Standards of Professional
16 Appraisal Practice.

17 SECTION 3. AMENDATORY 59 O.S. 2021, Section 858-818, is
18 amended to read as follows:

19 Section 858-818. A. An ~~AMC~~ appraisal management company (AMC)
20 registered under the Oklahoma Appraisal Management Company
21 Regulation Act shall be required to have a system in place to
22 disclose to its client the fees paid for appraisal management
23 services and the fees paid to the appraiser for the completion for
24 an appraisal assignment.

1 B. An AMC registered under the Oklahoma Appraisal Management
2 Company Regulation Act that applies for registration in this state
3 shall accept and shall not prohibit an appraiser that is part of an
4 appraiser panel of the AMC from including an invoice as an
5 attachment to the appraisal recording the fee that the appraiser was
6 paid by the AMC for the performance of the appraisal ~~within the~~
7 ~~communication of the appraisal that is submitted by the appraiser to~~
8 ~~the AMC.~~ Any demand by an AMC or its employees to an appraiser to
9 remove an invoice, or any removal by an AMC or its employees of an
10 attached invoice to the appraisal recording fee, showing the
11 appraiser was paid by the AMC for performance of the appraisal shall
12 be in violation of this act and shall be subject to penalties set
13 forth in Section 858-827 of this title.

14 SECTION 4. This act shall become effective November 1, 2026.

15
16 60-2-3606 CAD 3/4/2026 3:09:47 PM
17
18
19
20
21
22
23
24